



Adani Wilmar's fully-automated edible oil manufacturing plant in Hazira, on the outskirts of Surat, has a refining capacity of 2,500 tonnes a day. It is one of the largest facilities for the edible oil giant

driver for AWL, at least till FY24. It estimates the segment to grow at over 31 per cent CAGR to touch ₹4,340 crore yearly revenue for AWL in the next three years. "Due to rapid scale-up of the FMCG business and shift to value-added products, the company's Ebitda margin is set to expand by 70 bps to 4.2 per cent. Ebitda is expected to grow at 23.4 per cent CAGR to ₹2,491 crore (from ₹1,325 crore in FY21). Net profit is expected to grow at a CAGR of 19.9 per cent to ₹1,253 crore (from ₹728 crore in FY21) with 20 bps margin expansion to 2.1 per cent," it noted.

According to Choksey, AWL's focus on packaged foods is aimed in the right direction: "Their foods business is growing very well, which is expected to improve their margins significantly. So, the market's perception on AWL is quite strong as the higher margin segments have potential to deliver better growth."

Muscling in overseas

AWL is also looking beyond the domestic market for growth. Its direct foray into Bangladesh's edible oil market, for instance, is notable. Through a complex chain of acquisitions last June, the firm took over Ban-

gladesh Edible Oil Ltd (BEOL), which is now marketing AWL's flagship brands like Fortune (rice bran oil) and King's (sunflower oil) in that country. BEOL refines crude, degummed soybean oil and crude palmolein, and distributes them in the local market. Additionally, it procures mustard, rice bran oil and rice for sale. AWL also owns another Dhaka-headquartered firm—Shun Shing Edible Oil—which is involved in crude oil transport and oil processing services. Industry estimates suggest the edible oil market in Bangladesh is currently at ₹16,000 crore and growing at an impressive 9.5 per cent CAGR.

According to Malik, after the BEOL deal, AWL's overseas business would touch ₹7,000 crore by end-FY22. Apart from the Bangladesh business, it exports basmati rice, oleo-chemicals like soap noodles and castor oil (which are used in making personal-care items), soya derivatives and packaged edible oil to countries such as China, Japan and Australia, among others.

The road ahead

To keep the business future ready, AWL's proceeds from the IPO—about ₹3,500 crore—are being used primarily